

Vol Tape Regime v2

15 vol and rate indices and 38 ETFs, rank-based features, monotone trees refit yearly; every number on this page is out of sample. As of 2026-10-08. Feb to Jul 2020 excluded.

orange = risk-off side, blue = risk-on side

READING

IN

since 2026-07-14 · rule: OUT when the drawdown probability is above its trailing-756 95th percentile, back IN once below the 80th

89

stay-in dial = 100 minus the trailing percentile of the drawdown probability; the rule goes OUT at 5 or below and returns IN above 20

P(5% DRAWDOWN IN 21D)

0.085

trailing pct 11 · decile 5: historically 9% drew down 5%, mean next month +1.39%

P(5% RALLY IN 21D)

0.028

trailing pct 18 · decile 3: historically 4% rallied 5%, 7% drew down 5%

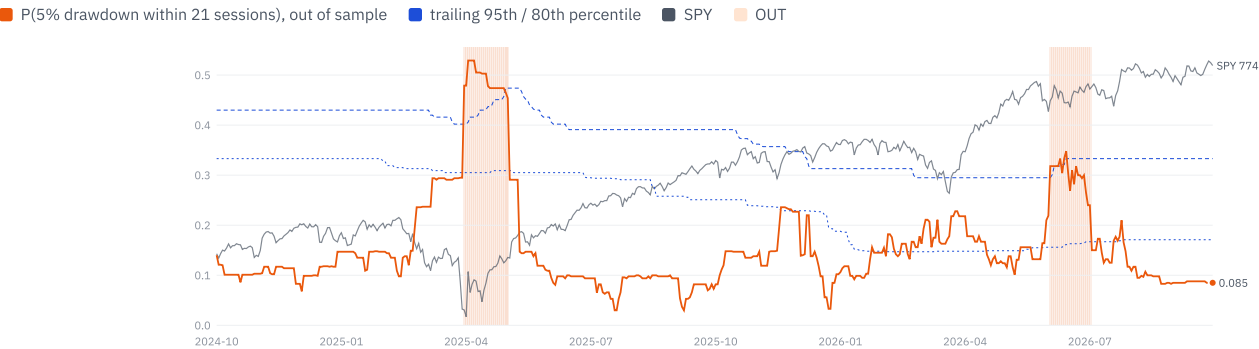
P(VOL EXPANDS 1.5X IN 21D)

0.085

trailing pct 57 · decile 5: historically 10% expanded, mean next month +0.32%

Not inside a vol episode. The drawdown probability sits at the 11th percentile of its own last three years; the rally probability at the 18th; the vol-expansion probability at the 57th. High readings of all three travel together (high vol is a two-tailed state), which is why the stay-in rule keys on the drawdown probability alone and re-enters quickly.

DRAWDOWN PROBABILITY, LAST TWO YEARS, WITH THE TRAILING THRESHOLDS THE RULE USES



WHY TODAY: THE FEATURES INSIDE EACH MODEL AND WHERE THEY SIT AGAINST THEIR OWN HISTORY

drawdown probability · 0.085				rally probability · 0.028				vol-expansion probability · 0.085			
XLY:pk10		0.07	+	XLV:gk21		0.91	+	IWM:VIX/cc21		0.96	+
XLY:cc10		0.08	+	SPY:pk21		0.14	+	IWM:VIX/cc21_rank		0.94	+
XLY:gk5		0.10	+	SPY:cc10		0.19	+	SPY:VIX/pk21		0.80	+
XLY:pk5		0.11	+	SKEW/VIX:lv1_rank		0.80	-	SPY:pk21_cc21		0.28	+
XLY:pk21		0.17	+	VIX:lv1_rank504		0.20	+	SPY:pk21_cc21_rank		0.28	+
QQQ:pk10		0.18	+	SPY:cc63		0.20	+	SPY:cc21_roc21		0.71	-
QQQ:pk21		0.24	+	SPY:pk10		0.21	+	SPY:VIX/pk21_rank		0.70	+
XLK:pk10		0.24	+	SPY:gk21		0.22	+	SPY:VIX_prem_chg21_rank		0.30	+
XLK:pk21		0.25	+	SPY:pk5		0.24	+	SPY:cc21_roc21_rank		0.69	-
XLK:pk5		0.27	+	VIX:lv1_rank1260		0.26	+	QQQ:VXN/cc21		0.66	+

Each probability comes from 15 features chosen inside the last training window. Bars show each feature's trailing-rank distance from its median, signed by the direction the model is constrained to use: orange pushes the probability up, blue pushes it down.

WHAT EACH PROBABILITY MEANT, OUT OF SAMPLE, BY DECILE (2005 TO DATE)

P_OFF DECILE	RANGE	FWD 21D	MEAN DD	P(5% DD)	P(5% UP)	P(VOL X1.5)
1	0.000-0.022	+0.49%	-1.9%	0.098	0.017	0.299
2	0.022-0.038	+0.77%	-1.9%	0.098	0.081	0.158
3	0.038-0.059	+0.89%	-1.7%	0.060	0.055	0.162
4	0.059-0.084	-0.66%	-3.5%	0.255	0.083	0.281
5	0.085-0.102	+1.39%	-1.6%	0.092	0.102	0.186
6	0.102-0.128	+1.32%	-2.2%	0.104	0.185	0.153
7	0.128-0.156	+1.01%	-2.3%	0.091	0.147	0.119
8	0.156-0.241	+0.99%	-2.7%	0.217	0.207	0.068
9	0.241-0.351	+0.82%	-3.6%	0.267	0.277	0.090
10	0.357-0.550	+1.75%	-4.5%	0.347	0.522	0.004

P_ON DECILE	RANGE	FWD 21D	MEAN DD	P(5% DD)	P(5% UP)	P(VOL X1.5)
1	0.000-0.009	+0.87%	-1.4%	0.056	0.036	0.230
2	0.009-0.025	+0.78%	-1.9%	0.107	0.019	0.262
3	0.025-0.041	+0.62%	-1.8%	0.073	0.036	0.211
4	0.041-0.066	+0.79%	-1.9%	0.074	0.034	0.172
5	0.066-0.099	+0.97%	-2.2%	0.134	0.107	0.156
6	0.099-0.132	+1.23%	-2.2%	0.121	0.190	0.119
7	0.132-0.166	+1.01%	-2.5%	0.149	0.170	0.081
8	0.166-0.238	+1.38%	-2.8%	0.228	0.277	0.102
9	0.238-0.429	+0.35%	-3.9%	0.337	0.292	0.098
10	0.429-0.765	+0.00%	-5.4%	0.348	0.514	0.081

P_VOL DECILE	RANGE	FWD 21D	MEAN DD	P(5% DD)	P(5% UP)	P(VOL X1.5)
1	0.000-0.003	+0.60%	-3.5%	0.209	0.209	0.023
2	0.003-0.011	+1.04%	-2.8%	0.202	0.206	0.056
3	0.011-0.026	+0.70%	-2.7%	0.168	0.141	0.055
4	0.026-0.053	+0.56%	-3.0%	0.202	0.177	0.092
5	0.053-0.091	+0.32%	-2.8%	0.196	0.181	0.102
6	0.091-0.138	+0.73%	-2.6%	0.164	0.179	0.113
7	0.138-0.197	+1.26%	-2.4%	0.151	0.130	0.172
8	0.197-0.268	+0.86%	-2.4%	0.153	0.115	0.200
9	0.268-0.409	+1.69%	-1.9%	0.098	0.154	0.213
10	0.409-0.844	+1.03%	-2.0%	0.087	0.102	0.486

TWO-STATE STAY-IN RULES ON THE PROBABILITIES, FULLY OUT OF SAMPLE, 2006 TO DATE

RULE	ANN %	VOL %	SHARPE	MAX DD (LOG)	ULCER %	EXPOSURE	SPELLS	ANN 05-12	ANN 13-19	ANN 20-26	DD 05-12	DD 13-19	DD 20-26	TODAY
SPY buy and hold	10.78	18.12	0.59	-80.3	15.24	1	0	4	13.6	15.2	-80.3	-21.5	-28.1	IN
A: OUT P_vol>q0.85, IN P_vol<q0.5	5.16	15.82	0.33	-77.6	22.37	0.7	90	-2.7	9.9	8.6	-77.6	-21.2	-31	IN
B: OUT P_vol>q0.85 & P_on<q.5, IN P_vol<q0.5 or P_on>q.8	7.79	17.02	0.46	-80.3	20.26	0.76	60	-1.3	11.7	13.5	-80.3	-21.5	-28.1	IN
A: OUT P_vol>q0.85, IN P_vol<q0.7	7.31	16.4	0.45	-76.3	21.14	0.78	117	-2.7	13.5	11.5	-76.3	-17.7	-30.4	IN
B: OUT P_vol>q0.85 & P_on<q.5, IN P_vol<q0.7 or P_on>q.8	8.35	17.28	0.48	-80.3	23.06	0.82	76	-2.6	13	15.3	-80.3	-21.5	-28.1	IN
A: OUT P_vol>q0.90, IN P_vol<q0.5	6.06	16.59	0.37	-93.7	26.4	0.77	66	-3.7	11.6	10.8	-93.7	-20.2	-31	IN
B: OUT P_vol>q0.90 & P_on<q.5, IN P_vol<q0.5 or P_on>q.8	7.77	17.21	0.45	-80.3	19.31	0.81	47	-0.7	12.7	11.7	-80.3	-21.5	-28.1	IN
A: OUT P_vol>q0.90, IN P_vol<q0.7	8.15	16.95	0.48	-82.6	21.68	0.83	74	-1.8	13.5	13.3	-82.6	-18.3	-30.4	IN
B: OUT P_vol>q0.90 & P_on<q.5, IN P_vol<q0.7 or P_on>q.8	8.37	17.42	0.48	-80.3	21.37	0.86	53	-1.2	13.5	13.3	-80.3	-21.5	-28.1	IN
A: OUT P_vol>q0.95, IN P_vol<q0.5	6.81	17.2	0.4	-80.5	22.04	0.82	46	-2.4	11.4	11.9	-80.5	-21.5	-32.3	IN
B: OUT P_vol>q0.95 & P_on<q.5, IN P_vol<q0.5 or P_on>q.8	7.29	17.44	0.42	-80.3	21.24	0.85	39	-2.1	12.3	12.1	-80.3	-21.5	-28.1	IN
A: OUT P_vol>q0.95, IN P_vol<q0.7	7.67	17.48	0.44	-79.9	23.53	0.88	47	-2.7	12.6	13.8	-79.9	-21.5	-31.6	IN
B: OUT P_vol>q0.95 & P_on<q.5, IN P_vol<q0.7 or P_on>q.8	7.82	17.63	0.44	-80.3	23.2	0.89	40	-2.6	13	13.7	-80.3	-21.5	-28.1	IN
C: OUT P_off>q0.90, IN P_off<q0.6	8.75	12.27	0.71	-26.7	7.29	0.76	17	7.5	10.2	8.5	-20.6	-16.2	-26.7	IN
C: OUT P_off>q0.90, IN P_off<q0.8	11.14	13.08	0.85	-27.7	7.07	0.84	18	10.8	11.9	10.6	-20.6	-15.7	-27.7	IN
D: OUT P_off>q0.90 & P_on<q.5, IN P_off<q.6 or P_on>q.8	10.78	18.12	0.59	-80.3	15.24	1	0	4	13.6	15.2	-80.3	-21.5	-28.1	IN
E: OUT P_off63>q0.90, IN P_off63<q.6	9.42	12.22	0.77	-20.6	7.06	0.75	20	5.4	10.6	12.6	-20.6	-14.1	-19.8	IN
F: OUT P_off>q0.90 & P_off63>q.8, IN both below q.6	9.5	11.9	0.8	-21.8	5.64	0.73	11	7.5	10.2	11	-20.6	-13	-21.8	IN
C: OUT P_off>q0.95, IN P_off<q0.6	9.32	12.81	0.73	-27.4	8.16	0.79	13	6.6	9.7	11.9	-20.6	-17.7	-27.4	IN
C: OUT P_off>q0.95, IN P_off<q0.8	11	13.64	0.81	-28.7	7.76	0.87	14	9.3	11	12.9	-20.6	-22.5	-28.7	IN
D: OUT P_off>q0.95 & P_on<q.5, IN P_off<q.6 or P_on>q.8	10.78	18.12	0.59	-80.3	15.24	1	0	4	13.6	15.2	-80.3	-21.5	-28.1	IN
E: OUT P_off63>q0.95, IN P_off63<q.6	9.02	13.21	0.68	-28.1	7.22	0.79	15	5.5	10.6	11.2	-20.6	-14.1	-28.1	IN
F: OUT P_off>q0.95 & P_off63>q.8, IN both below q.6	10.33	12.15	0.85	-21.8	5.78	0.76	8	7.5	10.2	13.7	-20.6	-13	-21.8	IN
C: OUT P_off>q0.98, IN P_off<q0.6	9.57	13.74	0.7	-28.1	8.54	0.83	9	5.8	10	13.4	-22.9	-15.8	-28.1	IN
C: OUT P_off>q0.98, IN P_off<q0.8	11.34	14.35	0.79	-28.1	7.75	0.89	9	8.5	11.2	14.7	-20.9	-22.5	-28.1	IN
D: OUT P_off>q0.98 & P_on<q.5, IN P_off<q.6 or P_on>q.8	10.78	18.12	0.59	-80.3	15.24	1	0	4	13.6	15.2	-80.3	-21.5	-28.1	IN
E: OUT P_off63>q0.98, IN P_off63<q.6	10.21	13.62	0.75	-28.1	6.73	0.84	12	5.5	12.6	12.8	-20.6	-12.7	-28.1	IN
F: OUT P_off>q0.98 & P_off63>q.8, IN both below q.6	10.29	13.39	0.77	-28.1	6.34	0.8	7	7.5	10.3	13.4	-20.6	-13	-28.1	IN

Blue row: the reference rule shown above. Orange row: the rule that was pre-registered before the grid was run (vol expansion likely with no rebound setup) and failed, because an expected vol expansion is a low-drawdown state out of sample. The reference rule was chosen from the pre-specified grid after the grid was run, and its re-entry threshold was moved from the 60th to the 80th percentile after the slow version sat out 2009 and 2016; both versions are in the table. Drawdowns are in log units (-80 log = -55% price).

YEAR	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	20
book %	13.4	11	-8.8	19	14	1.9	14.8	28	12.6	-7.3	7.6	19.6	-5.9	21.9	14.3	25.3	-20.6	23.3	22.2	5.1	1
SPY %	14.7	5	-45.9	23.4	14	1.9	14.8	28	12.6	1.2	11.3	19.6	-4.7	27.2	14.3	25.3	-20.1	23.3	22.2	16.3	1
diff	-1.3	+6.0	+37.1	-4.4	0.0	0.0	0.0	0.0	0.0	-8.5	-3.7	0.0	-1.2	-5.3	0.0	0.0	-0.5	0.0	0.0	-11.2	-2

OUT spells of the reference rule (SPY move while out)

2006-07-28 to 2006-08-15 · 13d · +0.5%

2007-10-17 to 2007-10-18 · 2d · -0.4%

2007-10-25 to 2007-10-31 · 5d · +1.8%

2007-11-09 to 2007-11-20 · 8d · -0.3%

2008-01-23 to 2009-06-02 · 343d · -31.4%

2015-08-26 to 2015-11-30 · 67d · +7.6%

2016-03-01 to 2016-03-21 · 15d · +3.8%
2018-02-09 to 2018-03-12 · 21d · +6.3%
2018-03-27 to 2018-05-01 · 25d · +1.7%
2018-10-24 to 2019-01-28 · 64d · 0.0%
2022-02-24 to 2022-04-04 · 28d · +6.8%
2022-05-05 to 2022-07-18 · 50d · -7.6%
2025-04-07 to 2025-05-08 · 23d · +11.4%
2026-06-11 to 2026-07-13 · 21d · +1.8%

ADD AS A SLEEVE (LONG ONLY ON ADD SESSIONS, RULE IN; EX-2020)	ANN %	SHARPE	MAX DD	SESSIONS LONG	SHARE OF IN SESSIONS	MEAN DAILY BP WHILE LONG	SPELLS
sleeve ADD: P_on >= q.80	2.68	0.37	-15.7	617	0.14	8.8	91
sleeve ADD: P_on >= q.90	1.48	0.26	-12.9	342	0.08	8.8	53
sleeve ADD: P_on >= q.80, held until < q.60	3.43	0.39	-19.4	975	0.22	7.1	54
sleeve ADD: P_on >= q.90, held until < q.60	2.49	0.31	-18.2	692	0.16	7.3	31
sleeve: all IN sessions (unconditional)	11	0.81	-28.7	4413	1	5	16

ADD AS A NO-LEVERAGE BOOK (BASE WEIGHT WHEN IN, 100% ON ADD, 0 WHEN OUT; EX-2020)	ANN %	SHARPE	MAX DD	MEAN WEIGHT
reference: 100% when IN, 0 when OUT	11	0.81	-28.7	0.87
SPY buy and hold	10.78	0.59	-80.3	1
75% when IN, no ADD (the reserve never deployed)	8.25	0.81	-21.5	0.65
75% when IN, 100% on ADD: P_on >= q.80	8.92	0.79	-22.7	0.68
75% when IN, 100% on ADD: P_on >= q.90	8.62	0.79	-22.1	0.67
75% when IN, 100% on ADD: P_on >= q.80, held until < q.60	9.11	0.77	-24.5	0.7
75% when IN, 100% on ADD: P_on >= q.90, held until < q.60	8.87	0.77	-23.8	0.68
50% when IN, no ADD (the reserve never deployed)	5.5	0.81	-14.3	0.43
50% when IN, 100% on ADD: P_on >= q.80	6.84	0.74	-19.1	0.49
50% when IN, 100% on ADD: P_on >= q.90	6.24	0.74	-17.5	0.47
50% when IN, 100% on ADD: P_on >= q.80, held until < q.60	7.21	0.7	-21	0.53
50% when IN, 100% on ADD: P_on >= q.90, held until < q.60	6.74	0.7	-19.9	0.5

The rally condition as its own book. The sessions it selects (rally probability at or above its trailing 80th percentile, held until it falls below the 60th) earn 7.1 basis points a day against 5 for all IN sessions, on 22% of them. There is no free lunch without leverage: a book that holds 75% when IN and goes to 100% only on ADD makes 9.11% against 8.25% for the reserve never deployed and 11% for always full. It beats sitting on cash, not holding the position already held, so it is not on the instruction page: a note for deploying new money only.

RULE	EX-2020 ANN %	MAX DD LOG	PRICE %	INCL-2020 ANN %	MAX DD LOG	PRICE %	SHARE OF FEB 19 TO MAR 23 2020 TAKEN	FIRST OUT IN THE CRASH	BACK IN	2020 BOOK %	2020 SPY %
SPY buy and hold	10.78	-80.3	-55.2	10.64	-80.3	-55.2	1	never	never OUT	16.8	16.8
C: OUT P_off>q0.90, IN P_off<q0.6	8.75	-26.7	-23.4	8.34	-26.7	-23.4	0.22	2020-03-02 (SPY -8.6%)	2020-08-13	-3.1	16.8
C: OUT P_off>q0.90, IN P_off<q0.8	11.14	-27.7	-24.2	10.74	-27.7	-24.2	0.22	2020-03-02 (SPY -8.6%)	2020-06-02	10.1	16.8
C: OUT P_off>q0.95, IN P_off<q0.6	9.32	-27.4	-24	8.91	-27.4	-24	0.22	2020-03-02 (SPY -8.6%)	2020-08-13	7.2	16.8
C: OUT P_off>q0.95, IN P_off<q0.8	11	-28.7	-24.9	10.85	-28.7	-24.9	0.22	2020-03-02 (SPY -8.6%)	2020-06-02	16.6	16.8
F: OUT P_off>q0.95 & P_off<q.8, IN both below q.6	10.33	-21.8	-19.6	9.88	-21.8	-19.6	0.22	2020-03-02 (SPY -8.6%)	2020-08-14	7.2	16.8
C: OUT P_off>q0.98, IN P_off<q0.6	9.57	-28.1	-24.5	9.01	-28.1	-24.5	0.29	2020-03-03 (SPY -11.3%)	2020-08-13	4.3	16.8
C: OUT P_off>q0.98, IN P_off<q0.8	11.34	-28.1	-24.5	11.04	-28.1	-24.5	0.29	2020-03-03 (SPY -11.3%)	2020-06-02	13.7	16.8

The 2020 path. Every statistic on this page excludes Feb to Jul 2020 by design; here the frozen rules, fits and thresholds unchanged, are scored with the window included. Reference rule: max drawdown -28.7 log excluding the window and -28.7 log including it; it went OUT 2020-03-02 (SPY -8.6%), took 0.22 of the Feb 19 to Mar 23 decline, and came back IN 2020-06-02.

THE INSTRUCTION, RATES OF CHANGE ONLY: LOWER HIGHS AND LOWER LOWS

INSTRUCTION

HOLD

since 2026-07-31

P(LOWER HIGHS AND LOWER LOWS, NEXT MONTH)

0.124

46th percentile of three years; REDUCE at the 95th (0.628), HOLD again below the 80th (0.414)

P(5% RALLY, NEXT MONTH)

0.084

43th percentile

P(VOL X1.5, NEXT MONTH)

0.127

46th percentile

WINDOW	SPY BOOK, 2020 INCLUDED	ANN %	WORST DD %	EXITS / YR	EXPOSURE
2010-2026	SPY buy and hold	13.3	-33.7	0	1
2010-2026	previous instruction (levels leg OR VIX outrunning VVIX)	12	-16.8	2.3	0.79
2010-2026	lower-highs/lower-lows leg alone	9.6	-36.3	3.5	0.93
2010-2026	instruction: lower-highs/lower-lows OR VIX outrunning VVIX	11.9	-15.8	3.5	0.83
2016-2026	SPY buy and hold	14	-33.7	0	1
2016-2026	previous instruction (levels leg OR VIX outrunning VVIX)	12.9	-16.8	2.5	0.77
2016-2026	lower-highs/lower-lows leg alone	11.1	-36.3	3.4	0.93
2016-2026	instruction: lower-highs/lower-lows OR VIX outrunning VVIX	12.7	-15.8	3.6	0.82
2023-2026	SPY buy and hold	20.1	-18.8	0	1
2023-2026	previous instruction (levels leg OR VIX outrunning VVIX)	16.1	-12.5	2.4	0.86
2023-2026	lower-highs/lower-lows leg alone	18.8	-13.1	2.4	0.96
2023-2026	instruction: lower-highs/lower-lows OR VIX outrunning VVIX	15.9	-13.2	2.7	0.88

Every input is a rate of change of price (1 to 63 days, alone or against SPY), of volume, or of volatility (realized-vol rates of change, every implied-vol index and their ratios, the VIX premium's change); no levels. The target is what the user asked to detect: over the next 21 sessions SPY makes a lower high and a lower low than over the last 21. Out of sample it ranks that at about 0.79 (0.80 since 2023), partly because a month that has already turned down tends to keep the lower high; against a 5% drawdown it ranks only 0.57. Its last fit uses 5-, 10- and 21-day rates of change of SPY, QQQ, XLK, XLI, XLF and IWM. It replaces the levels-based drawdown leg, which protected 2008 and is kept in the record; the VIX-outrunning-VVIX leg starts in 2009, so a ROC-only system has no tested record in a 2008-type bear.

THE FAST LEG: 1- TO 5-DAY RATES OF CHANGE, EVERY SERIES

FROM	SPY BOOK, 2020 INCLUDED	ANN %	WORST DD %	EXITS / YR	EXPOSURE
2010	SPY buy and hold	13.3	-33.7	0	1
2010	two legs (lower highs/lows OR VIX outrunning VVIX)	11.9	-15.8	3.5	0.83
2010	fast leg alone	14.4	-25	5	0.93
2010	instruction: three legs	11.4	-16.1	6.1	0.79
2016	SPY buy and hold	14	-33.7	0	1
2016	two legs (lower highs/lows OR VIX outrunning VVIX)	12.7	-15.8	3.6	0.82
2016	fast leg alone	16.6	-25	5.8	0.92
2016	instruction: three legs	13.2	-15.5	6.6	0.78
2023	SPY buy and hold	20.1	-18.8	0	1
2023	two legs (lower highs/lows OR VIX outrunning VVIX)	15.9	-13.2	2.7	0.88
2023	fast leg alone	21.9	-10	4.8	0.93
2023	instruction: three legs	17.8	-9.4	5.6	0.84

Inputs: rates of change over 1 to 5 sessions of every series (price, against SPY, volume, every vol index and ratio, short realized-vol changes); nothing longer. Target: SPY falls 3% from the close within 10 sessions. Its last fit reads rotation: semis lagging and utilities and gold leading over 3 to 5 days, with short realized vol rising in materials and SPY. REDUCE at its trailing 95th percentile, HOLD again below the 80th. Today 0.182, 49th percentile, quiet. Replayed onto 7 October with every series moving as on real down days, a -2% close lands near the 85th percentile and a -3% to -5% close near the 90th; it fired on 3 of 15 such replays, including the 3 April 2025 tariff day. Added on 8 October 2026 after its record was seen.

VIX OUTRUNNING VVIX: THE SECOND REDUCE LEG

SIGNAL

quiet

last live 2026-03-06 to 2026-04-02

VIX 21-DAY RATE OF CHANGE

-6.6%

37th percentile of two years; fires at the 90th

VIX/VVIX 21-DAY RATE OF CHANGE

+0.9%

56th percentile; fires at the 90th

INSTRUCTION TODAY

HOLD

42 live spells since 2009

FROM	VIX 21-DAY ROC IN ITS TOP 10%	FIRES	5% DROP WITHIN 21	5% RALLY WITHIN 21
2006	any day (base rate)		17%	17%
2006	VIX 21d ROC fires, VIX outrunning VVIX	27	44%	22%
2006	VIX 21d ROC fires, VVIX keeping up	39	13%	23%
2023	any day (base rate)		11%	19%
2023	VIX 21d ROC fires, VIX outrunning VVIX	4	56%	25%
2023	VIX 21d ROC fires, VVIX keeping up	8	12%	12%

WINDOW	BOOK	ANN %	WORST DD %	TIMES OUT	EXPOSURE
2010-2026	SPY buy and hold	13.3	-33.7	0	1
2010-2026	reference rule alone	11.4	-24.9	10	0.91
2010-2026	VIX outrunning VVIX alone	13.8	-17.4	39	0.85
2010-2026	instruction: reference OR VIX outrunning VVIX	12	-16.8	39	0.79
2010-2017	SPY buy and hold	13	-18.6	0	1
2010-2017	reference rule alone	11.4	-20.1	2	0.96
2010-2017	VIX outrunning VVIX alone	12.7	-15.2	16	0.88
2010-2017	instruction: reference OR VIX outrunning VVIX	11.2	-15.2	17	0.85
2018-2026	SPY buy and hold	13.7	-33.7	0	1
2018-2026	reference rule alone	11.3	-24.9	8	0.87
2018-2026	VIX outrunning VVIX alone	14.7	-17.4	23	0.82
2018-2026	instruction: reference OR VIX outrunning VVIX	12.7	-16.8	22	0.74
2023-2026	SPY buy and hold	20.1	-18.8	0	1
2023-2026	reference rule alone	16.5	-17.5	2	0.95
2023-2026	VIX outrunning VVIX alone	16.7	-13.2	8	0.88
2023-2026	instruction: reference OR VIX outrunning VVIX	16.1	-12.5	9	0.86

The signal: VIX's 21-day rate of change and the VIX/VVIX ratio's 21-day rate of change both in the top 10% of their trailing two years, live until VIX's 21-day rate of change falls back below its median. When VIX climbs and VVIX lags, the level of risk is being repriced; when VVIX keeps pace, it is a spike in tail insurance, and those mostly faded. It starts in 2009 because VVIX does. The split and the books are in-sample for the choice of this signal: it was found in this project's research and adopted after its record was seen, one of many cuts tried. August 2024 is a miss: VVIX kept pace and SPY still fell 6%. Since 2009 it has been live 42 times; 2020 is included in the books.

15% DECLINES: THE LOSS THAT MATTERS

P(15% DECLINE WITHIN 63 SESSIONS)
0.008
trailing pct 66 · decile 7: historically 3% saw one (base 5%), mean worst close within 63d -4.4%

P(15% DECLINE WITHIN 126 SESSIONS)
0.084
trailing pct 60 · decile 7: historically 14% saw one (base 11%)

DEDICATED 15%/63 MODEL, OUT OF SAMPLE
0.724
AUC by era 0.750 / 0.820 / 0.550 · year-bootstrap CI 0.587-0.831 · top quintile hit 0.129

PERMUTATION TEST, 15%/63 PIPELINE
0.724 vs 0.530
real AUC vs the mean of 20 null pipelines (sd 0.115, max 0.780) · z 1.7

Of the 11 declines: drawdown probability (5%/21): 3 already extreme at the peak, 1 crossed before SPY was 5% down, 4 crossed later, 3 never. Dedicated 15%/63 probability: 3 already extreme at the peak, 1 crossed before SPY was 5% down, 4 crossed later, 3 never. Vol-expansion probability: 0 already extreme at the peak, 3 crossed before SPY was 5% down, 2 crossed later, 6 never. The "already extreme" cases are the 2008-09 legs, where the previous leg had put every probability at its ceiling.

PEAK	TROUGH	DEPTH %	SESSIONS	P_OFF (5%/21)	PCT AT PEAK	FIRST ABOVE 95TH	P15/63 (NEW)	PCT AT PEAK	FIRST ABOVE 95TH	P_VOL	PCT AT PEAK	FIRST ABOVE 95TH
2007-10-09	2008-03-10	-17.8	104		0.560	2007-10-17 (+6s, SPY -1.4%)		0.820	2008-01-02 (+58s, SPY -6.9%)		0.290	2007-10-17 (+6s, SPY -1.4%)
2008-05-19	2008-10-10	-37.5	101		0.870	2008-09-18 (+85s, SPY -15.6%)		0.920	2008-09-10 (+79s, SPY -13.1%)		0.670	never
2008-10-13	2008-10-27	-17.2	10		1.000	2008-10-13 (+0s, SPY 0.0%)		0.990	2008-10-13 (+0s, SPY 0.0%)		0.100	never
2008-11-04	2008-11-20	-24.9	12		1.000	2008-11-04 (+0s, SPY 0.0%)		0.990	2008-11-04 (+0s, SPY 0.0%)		0.110	never
2009-01-06	2009-03-09	-27.1	42		1.000	2009-01-06 (+0s, SPY 0.0%)		1.000	2009-01-06 (+0s, SPY 0.0%)		0.510	never
2010-04-23	2010-07-02	-15.7	49		0.500	never		0.160	never		0.890	2010-05-06 (+9s, SPY -7.3%)
2011-04-29	2011-10-03	-18.6	108		0.260	never		0.510	2011-08-19 (+78s, SPY -17.0%)		0.800	2011-05-05 (+4s, SPY -2.1%)
2018-09-20	2018-12-24	-19.3	65		0.540	2018-10-24 (+24s, SPY -9.2%)		0.850	2018-09-27 (+5s, SPY -0.5%)		0.730	never
2022-01-03	2022-06-16	-23	114		0.670	2022-02-24 (+36s, SPY -10.3%)		0.050	2022-03-07 (+43s, SPY -12.2%)		0.130	2022-01-25 (+15s, SPY -9.1%)
2022-08-16	2022-10-12	-16.7	40		0.710	never		0.050	never		0.540	never
2025-02-19	2025-04-08	-18.8	34		0.050	2025-04-07 (+33s, SPY -17.5%)		0.260	never		0.830	2025-02-26 (+5s, SPY -3.0%)

Every SPY peak-to-trough decline of 15% or more since 2005 (zigzag on closes; a 10% rebound or a new high closes an event; 2020 excluded). For each out-of-sample probability: where it sat against its own trailing three years at the peak, and the first session at or after the peak where it crossed its trailing 95th percentile, with the decline already in place by then.

15%/63 probability · 0.008 · features inside the last fit and where they sit (orange pushes up)

XSD:amihud21_rank

XPH:rel63_rank

XHB:dd252

KBE:volvol21_rank

KCE:dd63

KBE:dd63

XHB:dd63

XSD:roc63

KCE:rel63

KCE:roc63

0.02

0.07

0.10

0.11

0.11

0.13

0.20

0.20

0.25

0.24

+

+

-

-

-

-

-

-

-

-

P15/63 DECILE	RANGE	P(15% DECLINE IN 63D)	MEAN WORST CLOSE 63D	MEAN FWD 63D
1	0.000-0.000	0.027	-4.0%	+1.2%
2	0.000-0.001	0.008	-2.7%	+2.5%
3	0.001-0.001	0.034	-5.0%	+0.3%
4	0.001-0.003	0.006	-2.7%	+3.8%
5	0.003-0.005	0.004	-3.2%	+3.5%
6	0.005-0.006	0.057	-4.0%	+3.7%
7	0.006-0.011	0.031	-4.4%	+3.4%
8	0.011-0.027	0.086	-6.0%	+0.9%
9	0.027-0.082	0.153	-7.6%	+2.1%
10	0.085-0.589	0.105	-5.6%	+4.7%

RULE	ANN %	SHARPE	MAX DD (LOG)	EXPOSURE	SPELLS	FALSE	MEAN TAKEN	WORST	AVOIDED INSIDE 15% EVENTS	GIVEN UP OUTSIDE	TAKEN PER EVENT (11)
E: OUT P_off63>q0.90, IN P_off63<q.6	9.42	0.77	-20.6	0.75	20	13	0.35	1	170.9	198.4	0.23 0.00 0.00 0.00 0.00 1.00 1.00 0.45 0.74 0.00 0.47
F: OUT P_off>q0.90 & P_off63>q.8, IN both below q.6	9.5	0.8	-21.8	0.73	11	6	0.35	1	174.2	200	0.15 0.00 0.00 0.00 0.00 1.00 1.00 0.45 0.31 0.00 0.92
I: OUT P_off>q0.9 or P15/63>q0.9, IN both<q0.8	8.61	0.73	-28.1	0.75	33	20	0.35	1	176.8	220.7	0.13 0.00 0.00 0.00 0.00 1.00 0.91 0.03 0.30 1.00 0.46
F: OUT P_off>q0.95 & P_off63>q.8, IN both below q.6	10.33	0.85	-21.8	0.76	8	3	0.36	1	171.4	180.5	0.15 0.00 0.00 0.00 0.00 1.00 1.00 0.45 0.42 0.00 0.92
G: OUT P15/63>q0.85, IN P15/63<q0.7	9.45	0.77	-30	0.77	43	26	0.4	1.28	159.1	185.9	0.27 0.22 0.00 0.00 0.00 1.00 1.28 0.00 0.20 1.00 0.47
C: OUT P_off>q0.90, IN P_off<q0.6	8.75	0.71	-26.7	0.76	17	9	0.41	1	163.5	204.6	0.06 0.00 0.00 0.00 0.00 1.00 1.00 0.28 0.30 0.90 0.92
G: OUT P15/63>q0.9, IN P15/63<q0.8	10.51	0.81	-27.2	0.83	29	13	0.42	1.32	156.7	162.1	0.24 0.15 0.00 0.00 0.00 1.00 1.32 0.03 0.39 1.00 0.46
G: OUT P15/63>q0.9, IN P15/63<q0.7	10.04	0.78	-27.2	0.82	25	13	0.42	1.32	156.3	171.3	0.27 0.15 0.00 0.00 0.00 1.00 1.32 0.00 0.41 1.00 0.46
I: OUT P_off>q0.95 or P15/63>q0.95, IN both<q0.8	10.18	0.81	-28.1	0.82	19	9	0.42	1	160.9	173	0.13 0.00 0.00 0.00 0.00 1.00 0.91 0.21 0.42 1.00 0.92

C: OUT P_off>q0.90, IN P_off<q0.8	11.14	0.85	-27.7	0.84	18	8	0.45	1	152.9	145.5	0.06	0.00	0.00	0.00	0.00	1.00	1.00	0.28	0.64	1.00	0.92
J: OUT P_off>q0.9 and P15/63>q0.8, IN P_off<q0.8	11.01	0.83	-27.7	0.85	14	5	0.46	1	150.5	145.8	0.18	0.00	0.00	0.00	0.00	1.00	1.00	0.28	0.64	1.00	0.92
C: OUT P_off>q0.95, IN P_off<q0.6	9.32	0.73	-27.4	0.79	13	5	0.47	1	148.8	178.3	0.47	0.00	0.00	0.00	0.00	1.00	1.00	0.45	0.42	0.90	0.92
H: OUT P15/126>q0.85, IN P15/126<q0.7	8.51	0.68	-26.9	0.78	29	16	0.47	1.1	145.4	191.4	0.06	0.17	0.00	0.00	0.00	1.00	0.54	1.00	0.33	1.10	0.92
K: OUT P15/63>q0.9 and P15/126>q0.8, IN both<q0.8	10.11	0.77	-26.5	0.84	14	5	0.47	1	144.3	157.8	0.24	0.13	0.00	0.00	0.00	1.00	1.00	1.00	0.39	1.00	0.46
C: OUT P_off>q0.95, IN P_off<q0.8	11	0.81	-28.7	0.87	14	5	0.51	1	138.6	134.1	0.47	0.00	0.00	0.00	0.00	1.00	1.00	0.45	0.75	1.00	0.92
SPY buy and hold	10.78	0.59	-80.3	1	0	0	1	1	0	0	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00

The fourteen rules that took the least of the eleven 15% declines (events: 2007-10-09 to 2008-03-10 -17.8%; 2008-05-19 to 2008-10-10 -37.5%; 2008-10-13 to 2008-10-27 -17.2%; 2008-11-04 to 2008-11-20 -24.9%; 2009-01-06 to 2009-03-09 -27.1%; 2010-04-23 to 2010-07-02 -15.7%; 2011-04-29 to 2011-10-03 -18.6%; 2018-09-20 to 2018-12-24 -19.3%; 2022-01-03 to 2022-06-16 -23.0%; 2022-08-16 to 2022-10-12 -16.7%; 2025-02-19 to 2025-04-08 -18.8%), plus the reference rule and buy-and-hold. "taken" 1.0 = took the whole decline, 0 = sidestepped it, above 1 = whipsawed into more than the decline. Totals are log-return points over 2006 to date. Every rule that sidesteps more of the declines gives up more outside them; none clears buy-and-hold by more than the reference rule does.

PRICE TRIGGER		RE-ENTRY	CONTROL	ANN %	SHARPE	MAX DD	SPELLS	FALSE	TAKEN	WITH VOL ALERT	ANN %	SHARPE	MAX DD	SPELLS	FALSE	TAKEN
3% below 63d high	IN calm (P_off<q.8 & P_vol<q.7)			5.09	0.5	-34.7	386	261	0.31		4.54	0.38	-47.9	262	182	0.49
		IN new 42d high		3.84	0.47	-19.3	81	59	0.15		4.66	0.41	-34.4	57	40	0.32
3% below 63d high	IN calm or new 42d high			5.15	0.48	-45.6	401	272	0.32		5.04	0.4	-47.2	267	185	0.53
5% below 63d high	IN calm (P_off<q.8 & P_vol<q.7)			7.01	0.62	-28.5	192	106	0.38		7.46	0.59	-33.5	124	67	0.52
		IN new 42d high		5.31	0.53	-26.7	43	27	0.25		5.75	0.47	-30.6	30	18	0.42
5% below 63d high	IN calm or new 42d high			7.3	0.62	-37.7	199	111	0.4		7.79	0.59	-32.5	125	67	0.55
7% below 63d high	IN calm (P_off<q.8 & P_vol<q.7)			8.08	0.68	-27.9	90	32	0.42		8.71	0.67	-31.3	57	21	0.54
		IN new 42d high		6.82	0.61	-33.5	28	14	0.3		8.11	0.64	-33.7	17	8	0.44
7% below 63d high	IN calm or new 42d high			8.65	0.7	-31.1	94	35	0.44		8.99	0.67	-33.7	58	21	0.58
10% below 63d high	IN calm (P_off<q.8 & P_vol<q.7)			9.5	0.74	-30.7	39	5	0.48		10.05	0.74	-33.3	25	4	0.62
10% below 63d high	IN new 42d high			10.03	0.78	-33.4	13	1	0.42		10.66	0.77	-35.6	7	0	0.58
10% below 63d high	IN calm or new 42d high			9.95	0.75	-28.4	41	6	0.51		10.18	0.72	-35.6	26	4	0.66

Onset rules: a vol-expansion alert (P_vol above its trailing 90th percentile at some point in the last 42 sessions) that becomes OUT only once SPY sits a given percent below its 63-session closing high, against the same price trigger with no vol filter. Re-entry on calmed probabilities, on a new 42-session closing high, or on either. "taken" is the mean share of the eleven 15% declines the book took; "false" counts OUT spells not followed by any 10% decline.

ROBUSTNESS: MODEL CAPACITY, RAW SINGLE FEATURES, YEAR-BLOCK BOOTSTRAP, AND A PERMUTATION TEST OF THE WHOLE PIPELINE

TARGET	MODEL	AUC 05-12	AUC 13-19	AUC 20-26	AUC ALL	HIT RATE BY PREDICTED QUINTILE (LOW TO HIGH)
P_off	K150 d3 free (the overfit reference)	0.488	0.487	0.63	0.532	0.14 · 0.14 · 0.17 · 0.19 · 0.17
P_off	K30 d2 mono	0.65	0.524	0.671	0.631	0.09 · 0.15 · 0.14 · 0.13 · 0.30
P_off	K15 d2 mono (production)	0.624	0.586	0.714	0.636	0.10 · 0.16 · 0.10 · 0.15 · 0.31
P_off	K8 d1 mono (additive)	0.608	0.556	0.696	0.625	0.10 · 0.15 · 0.09 · 0.18 · 0.29
P_off	K5 d1 mono	0.575	0.548	0.688	0.61	0.12 · 0.15 · 0.08 · 0.16 · 0.30
P_vol	K30 d2 mono	0.626	0.826	0.838	0.751	0.04 · 0.07 · 0.10 · 0.17 · 0.37
P_vol	K15 d2 mono (production)	0.651	0.795	0.819	0.748	0.04 · 0.07 · 0.11 · 0.19 · 0.35
P_vol	K8 d1 mono	0.659	0.817	0.828	0.761	0.04 · 0.07 · 0.10 · 0.18 · 0.37
P_on	K30 d2 mono	0.811	0.798	0.767	0.797	0.03 · 0.04 · 0.12 · 0.22 · 0.43
P_on	K15 d2 mono (production)	0.798	0.786	0.751	0.789	0.03 · 0.04 · 0.15 · 0.22 · 0.40
P_on	K8 d1 mono	0.798	0.783	0.739	0.784	0.02 · 0.04 · 0.14 · 0.22 · 0.41
P_off	raw VIX:liv_rank504	0.678	0.668	0.602	0.66	0.09 · 0.09 · 0.15 · 0.16 · 0.33
P_off	raw VIX3M:liv_rank252	0.653	0.65	0.662	0.658	0.10 · 0.10 · 0.09 · 0.21 · 0.31
P_off	raw SPY:cc21_rank	0.684	0.589	0.667	0.66	0.07 · 0.10 · 0.14 · 0.20 · 0.29
P_off	raw HYG:pk21_rank	0.632	0.598	0.653	0.634	0.10 · 0.11 · 0.14 · 0.15 · 0.31
P_off	raw XLV:rel63	0.592	0.651	0.661	0.616	0.12 · 0.12 · 0.15 · 0.14 · 0.29
P_off	raw XS:avgcorr21_rank	0.549	0.572	0.603	0.58	0.12 · 0.15 · 0.14 · 0.18 · 0.23
P_off	raw -HYG:signedvol21	0.584	0.656	0.655	0.616	0.09 · 0.16 · 0.12 · 0.19 · 0.26
P_off	raw VIX:roc21_rank	0.513	0.562	0.55	0.536	0.17 · 0.13 · 0.13 · 0.17 · 0.21
P_off	raw VIX:roc5_rank	0.505	0.551	0.522	0.521	0.16 · 0.17 · 0.13 · 0.15 · 0.20
P_off	raw -SPY:VIX/cc21_rank	0.596	0.537	0.629	0.594	0.10 · 0.12 · 0.18 · 0.17 · 0.24

P_OFF PERMUTATION TEST

0.636 vs 0.497

real pooled AUC vs the mean of 20 null pipelines (sd 0.048, max 0.612) · z 2.9

P_VOL PERMUTATION TEST

0.748 vs 0.500

real pooled AUC vs the mean of 20 null pipelines (sd 0.025, max 0.533) · z 10.0

P_ON PERMUTATION TEST

0.789 vs 0.508

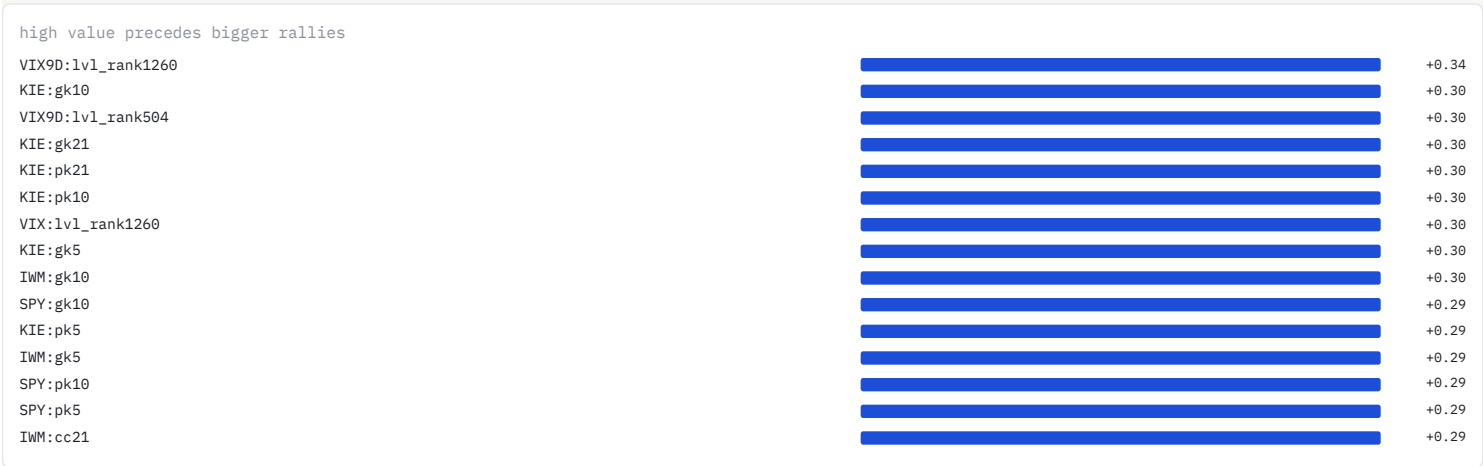
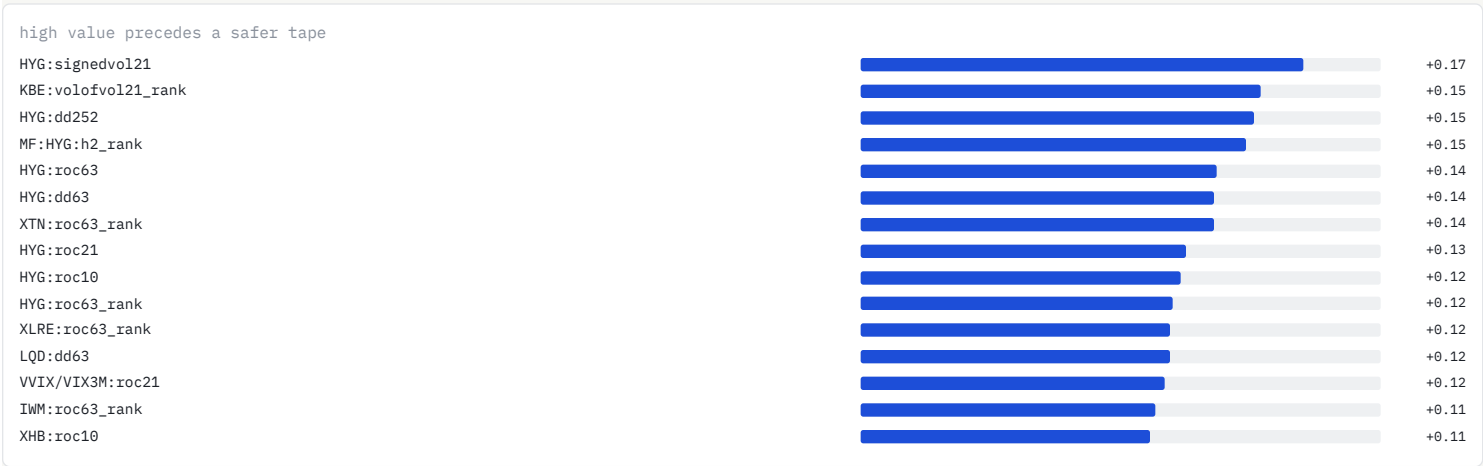
real pooled AUC vs the mean of 20 null pipelines (sd 0.056, max 0.622) · z 5.0

The permutation test shifts the label series by a random offset of at least a year and reruns the entire walk-forward pipeline, feature selection included; the resulting AUC is what selection and fitting produce from nothing.

WHY VERSION 1 WAS RETIRED: EVERY V1 RULE BY SAMPLE HALF

GROUP	V1 RULE	SIDE	FIRES	P ALL	P 2008-17	P 2018-26	FWD21 2018-26	HALVES
main	SETUP_rates	off	289	0.25	0.26	0.2	0.86	ok / FAIL
main	SETUP_complac	off	38	0.24	0.42	0.5	-1.74	ok / n<6
main	ONSET_impulse	off	62	0.27	0.35	0.23	0.82	ok / FAIL
main	ONSET_vvixlag	off	182	0.27	0.29	0.25	1.23	ok / ok
main	ONSET_movellag	off	14	0.43	0.5	0.33	0.18	ok / n<6
main	ONSET_ovxdiv	off	40	0.3	0.24	0.37	-0.19	FAIL / ok
main	CONT_2ndleg	off	64	0.39	0.41	0.39	1.69	ok / ok
main	CAP_alldims	on	52	0.15	0.19	0.1	3.5	ok / ok
main	CAP_vix_gvz	on	117	0.17	0.17	0.17	1.95	ok / ok
main	CAP_vvixout	on	9	0	0	0	4.4	ok / n<6
main	ONCONF_collapse	on	225	0.19	0.18	0.2	1.02	ok / FAIL
main	FAIL_yieldsup	off	56	0.39	0.44	0.36	-0.5	ok / ok
pair	HYG_credit_crack	off	7	0.71	0.67	1	-2.7	ok / n<6
pair	KRE_banks_vs_yields (removed)	off	35	0.46	0.61	0.27	1.45	ok / FAIL
pair	TLT_duration_bid_calm	off	6	0.5	0.75	0	0.83	n<6 / n<6
pair	XLU_defensive_bid	off	37	0.38	0.44	0.29	0.61	ok / ok
pair	XLRE_bid_yields_up	off	13	0.31		0.31	0.12	n<6 / FAIL
pair	IWM_beta_chase	off	53	0.3	0.36	0.16	1.79	ok / FAIL
pair	XLU_month_lead	off	197	0.31	0.33	0.36	0.29	ok / ok
pair	VVIX_confirms_spike	on	58	0.16	0.2	0.06	3.83	FAIL / ok
realized	RVX_premium_collapse	off	114	0.19	0.29	0.31	1.76	ok / ok
realized	SPY_realized_outruns_implied	off	48	0.29	0.5	0.31	2.49	ok / FAIL
realized	SPY_implied_outruns_realized	on	211	0.2	0.27	0.15	2.1	ok / ok
realized	QQQ_realized_outruns_VXN	off	41	0.27	0.39	0.21	1.95	ok / FAIL
realized	HYG_credit_vol_cheap_VIX	off	110	0.26	0.2	0.33	0.83	FAIL / ok
realized	XLE_energy_vol_cheap_OVX	off	100	0.23	0.19	0.29	-0.56	FAIL / ok
realized	TLT_MOVE_leads_realized	off	45	0.24	0.27	0.37	-0.95	FAIL / ok
realized	HYG_realized_expanding_spike	off	61	0.25	0.33	0.14	2.94	ok / FAIL
context	rates_pressure_vix_asleep	off	216	0.07	0.05	0.03	2.38	FAIL / FAIL
context	complacency_both_compressed	off	256	0.25	0.33	0.23	-0.02	ok / ok
context	vol_collapsing_from_high	on	250	0.25	0.43	0.28	0.8	FAIL / FAIL
context	vix_floor_vvix_floor	off	332	0.1	0.11	0.08	1.25	FAIL / FAIL
context	drawdown_no_capitulation	off	1297	0.37	0.43	0.3	2.44	ok / ok

FEATURES THAT CARRIED THE SAME SIGN IN EVERY ERA (TO 2012, 2013-19, 2020-26)



VOL EPISODES AND MULTIFRACTAL STATE

START	END	KIND	SESSIONS	SPY DD INSIDE %	SPY START TO END %
2026-06-23	2026-07-16	realized	17	-0.6	+2.3
2026-06-05	2026-06-15	implied	7	-1.7	+2.3
2026-03-31	2026-04-30	realized	22	0.0	+10.0
2026-02-05	2026-04-30	implied	59	-6.7	+6.2
2026-01-20	2026-01-22	implied	3	0.0	+1.7
2025-11-06	2025-12-03	implied	19	-2.7	+2.0

2025-10-10	2025-10-27	implied	12	0.0	+4.8
2025-08-01	2025-08-08	implied	6	0.0	+2.5
2025-03-05	2025-06-12	realized	70	-15.8	+3.8
2025-02-24	2025-07-10	implied	95	-18.2	+5.3
2025-01-10	2025-01-21	implied	7	0.0	+3.8
2025-01-07	2025-02-11	realized	24	-1.4	+2.8
2024-12-18	2024-12-24	implied	5	-0.0	+2.9
2024-10-07	2024-11-07	implied	24	0.0	+4.8

SERIES	H2	RANK	WIDTH	RANK	ALPHA R	RANK	VR5	VR21
SPY	0.393	0.038	0.362	0.917	0.746	0.304	0.900	0.863
HYG	0.392	0.075	0.480	1.000	0.828	0.748	0.797	0.790
VIX	0.312	0.024	0.277	0.228	0.617	0.004	0.630	0.357
QQQ	0.430	0.052	0.364	0.966	0.752	0.407	0.926	0.888
TMH	0.445	0.161	0.234	0.942	0.594	0.014	0.771	0.866

Episodes: realized = SPY 21-day realized vol crossing above its trailing-504 80th percentile, ending below the 50th; implied = VIX level rank likewise. Multifractal: rolling 504-session MF-DFA; h2 is the Hurst exponent of returns, width = h(-4) - h(4), alpha_abs the DFA exponent of absolute returns; vr5 and vr21 are Lo-MacKinlay variance ratios.

TAPE TODAY, AS TRAILING RANKS (0 = LOWEST OF THE LAST TWO YEARS, 1 = HIGHEST)

VIX LEVEL 0.20 trailing rank	VIX 5D ROC 0.33 trailing rank	VIX 21D ROC 0.37 trailing rank	VVIX/VIX 5D ROC 0.57 trailing rank
VIX/VIX3M 5D ROC 0.31 trailing rank	MOVE LEVEL 0.82 trailing rank	MOVE 5D ROC 0.19 trailing rank	10Y YIELD 21D CHANGE 0.93 trailing rank
SPY REALIZED 21D (%) 10.18 level	SPY PARKINSON 21D (%) 7.50 level	SPY REALIZED LEVEL 0.24 trailing rank	SPY RV 21/63 0.41 trailing rank
SPY PARKINSON / CLOSE-TO-CLOSE 0.28 trailing rank	VIX OVER REALIZED 0.56 trailing rank	VIX PREMIUM 5D CHANGE 0.35 trailing rank	SPY VOLUME VS 63D 0.41 trailing rank
SPY VOLATILITY OF VOLUME 0.35 trailing rank	SPY RANGE COMPRESSION 0.57 trailing rank	SPY ILLIQUIDITY 0.44 trailing rank	HYG PARKINSON VOL 0.83 trailing rank
HYG SIGNED VOLUME 21D -0.35 level	VIX OVER HYG REALIZED 0.20 trailing rank	XLV RELATIVE 63D 0.65 trailing rank	DISPERSION 5D 0.14 trailing rank
AVG CORRELATION 21D 0.26 trailing rank	AVG CORRELATION 5D CHANGE 0.39 trailing rank	REALIZED-VOL BREADTH 0.34 trailing rank	VOLUME BREADTH 0.90 trailing rank
COMPRESSION BREADTH 0.07 trailing rank	ROC BREADTH 21D 0.29 trailing rank	RSP/SPY 21D 0.13 trailing rank	RSP/SPY 63D 0.28 trailing rank

TICKER LAYER: BEHAVIOUR AROUND 76 VOL-EPIISODE STARTS AND UNDER HIGH DISPERSION

TICKER	REL ROC5	RANK -5	-1	0	+3	+10	FWD 10D REL %	FWD 21D REL %	N
XES		0.43	0.31	0.32	0.3	0.48	-1.81	-1.95	55
XLC		0.38	0.32	0.29	0.51	0.47	-1.10	-0.88	26
BNO		0.41	0.61	0.63	0.53	0.48	-1.03	-2.57	50
KCE		0.44	0.35	0.28	0.28	0.36	-1.02	-0.51	60
XOP		0.44	0.39	0.36	0.31	0.6	-0.97	-2.12	55
XTN		0.51	0.46	0.41	0.43	0.38	-0.93	-0.33	50
IEF		0.49	0.77	0.91	0.88	0.38	-0.81	-1.83	64
KBE		0.47	0.49	0.43	0.41	0.38	-0.76	-1.27	60
XME		0.38	0.32	0.29	0.35	0.39	-0.74	-0.02	55
HYG		0.54	0.73	0.91	0.87	0.43	-0.71	-0.97	55
GLD		0.61	0.67	0.85	0.78	0.42	-0.57	+0.02	62
KIE		0.6	0.61	0.68	0.59	0.47	-0.41	-0.30	60
KRE		0.43	0.56	0.57	0.45	0.51	-0.37	-0.49	55
XLE		0.48	0.55	0.56	0.42	0.55	-0.35	-0.35	75
XHE		0.49	0.53	0.64	0.54	0.59	-0.28	+0.05	50
XLP		0.63	0.7	0.81	0.79	0.53	-0.26	+0.51	75
TLT		0.47	0.68	0.9	0.87	0.38	-0.21	-1.45	64
XLV		0.54	0.62	0.67	0.64	0.53	-0.20	+0.56	75
XLB		0.56	0.41	0.5	0.35	0.42	-0.20	+0.26	75
XBI		0.53	0.4	0.46	0.46	0.61	-0.16	+0.09	57
XRT		0.55	0.38	0.51	0.41	0.44	-0.12	-0.05	55
IMM		0.48	0.42	0.39	0.51	0.54	-0.11	-0.18	69
RWR		0.55	0.63	0.71	0.65	0.53	-0.11	+0.60	65
XSW		0.42	0.3	0.31	0.29	0.54	-0.10	-0.12	50
XLRE		0.49	0.69	0.83	0.7	0.5	-0.08	-0.28	34
XLI		0.51	0.45	0.51	0.44	0.54	-0.05	+0.27	75
XLF		0.62	0.55	0.5	0.49	0.42	-0.03	+0.05	75
XLK		0.49	0.39	0.31	0.39	0.47	+0.09	-0.31	75
XLY		0.45	0.4	0.45	0.47	0.5	+0.18	-0.10	75
QQQ		0.5	0.37	0.29	0.26	0.5	+0.21	+0.03	74
XHS		0.52	0.58	0.66	0.61	0.62	+0.28	+0.96	50
XLU		0.62	0.77	0.8	0.72	0.54	+0.29	+0.93	75
XTL		0.54	0.4	0.35	0.53	0.59	+0.32	+0.92	50
XHB		0.44	0.44	0.41	0.51	0.46	+0.38	-0.27	57
XPH		0.59	0.58	0.56	0.57	0.61	+0.39	+0.93	55
XSD		0.49	0.33	0.23	0.36	0.56	+0.57	+0.71	57
XAR		0.48	0.4	0.42	0.38	0.6	+0.74	+0.74	50

TICKER	LOW DISPERSION	MID	HIGH DISPERSION
QQQ	+0.08	+0.14	+0.08
TLT	-0.63	-0.64	-0.47
IEF	-0.67	-0.68	-0.60
HYG	-0.43	-0.42	-0.45
IMM	+0.13	+0.07	0.00
GLD	-0.29	-0.34	-0.39
XLC	+0.11	0.00	-0.14
XLY	+0.13	+0.03	-0.05
XLP	-0.25	-0.15	-0.02
XLE	-0.06	-0.10	+0.03
XLF	+0.03	-0.05	-0.15
XLV	-0.07	-0.03	-0.09
XLI	+0.07	+0.04	+0.08
XLB	-0.14	+0.07	+0.10
XLRE	-0.47	-0.27	-0.24
RWR	+0.01	-0.03	-0.02
XAR	+0.12	+0.18	+0.32
KBE	-0.28	-0.28	-0.45
XBI	-0.28	-0.01	+0.42
KCE	-0.10	-0.02	-0.29
XHE	+0.03	-0.03	0.00
XHS	+0.04	0.00	+0.06
XHB	-0.21	-0.29	-0.16
KIE	-0.06	-0.05	-0.21
XME	-0.12	-0.12	+0.01
XES	+0.08	-0.22	-0.37
XOP	+0.05	-0.30	+0.15
XPH	-0.12	+0.04	-0.07
KRE	-0.31	-0.33	-0.35
XRT	-0.05	-0.05	-0.14
XSD	+0.40	+0.27	+0.38
XSW	+0.13	+0.12	+0.34
XTL	-0.26	-0.11	-0.03
XTN	-0.10	-0.20	+0.03
XLK	+0.04	+0.11	+0.17
XLU	-0.09	-0.01	+0.27
BNO	-0.01	-0.10	-0.51

Method: features are rates of change, ratios and trailing-504 percentile ranks built from daily OHLCV (close-to-close, Parkinson and Garman-Klass realized vol; volume and the volatility of volume; range compression; cross-sectional dispersion and correlation; implied over realized; equal-weight breadth; MF-DFA spectra). Models: 15 features chosen inside each training window by same-

signed rank correlation in both halves, depth-2 gradient-boosted trees constrained to be monotone in that sign, refit each January on data whose labels end before the test year. Thresholds are trailing quantiles of past out-of-sample values. KRE-based features are excluded from the candidate set by the user's direction. Nothing here assumes a distribution.